

Tax Benefits for Hospital Employees (Nurses & Doctors in India)

1. Standard Tax Benefits (Applicable to All Employees)

- Standard Deduction: ₹50,000 (100% fixed deduction)
- Section 80C: Up to ₹1,50,000 (100% of eligible investments)
- Section 80D (Health Insurance):
 - Self & Family: Up to ₹25,000
 - Parents: ₹25,000–₹50,000
- Section 24(b) Home Loan Interest: Up to ₹2,00,000

2. Allowances in Hospital Sector

- HRA (House Rent Allowance):
Exemption = Minimum of:
 - 50% of salary (metro) / 40% (non-metro)
 - Actual HRA received
 - Rent paid – 10% of salary
- Uniform Allowance:
 - 100% tax-free if bills submitted
 - Otherwise 100% taxable
- Transport Allowance:

- Mostly taxable (earlier exemption ₹1,600/month)

- Meal Coupons:

- Tax-free up to ₹50 per meal (~₹26,400/year)

- Shift Allowance (Night Duty):

- 100% taxable

3. Doctor-Specific Tax Benefits

- Consultation Income:

- Taxed as professional income
- Can claim expenses (30%–70% depending on expenses)

- Professional Expenses Deduction:

- Equipment, books, travel, conferences

- CME (Continuing Medical Education):

- 100% tax-free if paid directly by employer

4. Nurse-Specific Benefits

- Mostly salaried income

- Limited deductions beyond:

- HRA
- Standard deduction

- PF
- Overtime: 100% taxable
- Hostel/Accommodation:
 - Tax-free if provided by hospital within premises

5. Employer Benefits (Tax Efficient)

- Free/Subsidized Medical Treatment:
 - 100% tax-free if in same hospital
- Accommodation:
 - May be partially tax-free
- EPF Contribution:
 - Employer contribution up to 12% basic (tax-free)
- Gratuity:
 - Tax-free up to ₹20 lakhs

6. Tax Regime Comparison

Old Regime:

- Allows deductions (80C, HRA, etc.)
- Better if deductions > ₹2–3 lakhs

New Regime (Section 115BAC):

- Lower tax rates
- Most deductions NOT allowed
- Standard deduction ₹50,000 still applicable

Recommendation:

- Nurses: Old regime usually better
- Doctors: Depends on income structure (salary + profession)